



AN OLD WRIST WATCH rests on the table, as also a small pocket diary with a pen sticking out. R. Thyagarajan gently makes a few notes and smiles before starting the conversation. At 85, the mind is laser sharp, though he jokingly says age is slowly catching up.

We are sitting in his large yet modest office called Shriram Towers in the crowded suburb of T. Nagar in Chennai. A low-profile man, who says he is comfortable with anonymity and western classical music in equal measure, Thyagarajan spends a few hours at work each day “only to give a sense of direction and nothing else”. It was in the mid-1970s when he, with a few friends, set up a chit fund business before moving into lending with the objective of catering to the underserved. Almost five decades later, Shriram is a name in the ultra-competitive world of financial services. Its logo of the suited man holding a briefcase and one finger pointing skywards is easily recognisable in south India and, now, across the country as well.

The group has been in the news for a while with high-profile private equity funds such as Chrys-Capital and TPG having made investments, apart from the likes of industrialist Ajay Piramal. Over time, Shriram has moved across the spectrum of lending to truckers, small and medium enterprises, as well as individuals for a host of needs. Building on that base of borrowers, it moved into insurance

as well, a sector that Thyagarajan is extremely bullish about. Last December, it was time to unveil a new entity, Shriram Finance—a result of a merger between Shriram Capital, Shriram City Union Finance and Shriram Transport Finance. Claiming to be the largest retail non-banking finance company (NBFC) in India, with combined assets under management (AUM) of over ₹1.5 lakh crore and a distribution network of 3,500 branches, the merged entity brings together all the lending segments, among which are commercial vehicles, two-wheelers, personal loans and small enterprise finance.

1

The merger of Shriram Capital and Shriram City Union Finance with Shriram Transport Finance will lead to the creation of Shriram Finance, a large entity with an AUM of over ₹1.5 lakh crore

2

The ability to reach out to a large borrower base with more product offerings is a key reason for the merger

3

In terms of synergy, it will be across products, costs and distribution. In short, every borrower will be seen as a potential consumer for any offering under the Shriram umbrella

4

Technology will play a big role as the group will unveil an app, where consumers can buy any Shriram product apart from making bill payments

5

Shriram has two insurance businesses—life and general—where the group sees a huge growth upside

It is a journey towards a new-look Shriram where synergies of the merger are expected to bear fruit. At the same time, insurance, which is not being merged, will be the big story. In many ways, this could be the tipping point for the group.

SYNERGY AT THE CORE

How things get discovered quite by chance is a tale often narrated in business. When the senior management at Shriram City Union Finance (SCUF) sat down for a routine review last year, an unexpected bit of information popped up. On an average, the company financed 100,000 two-wheelers each month. A large proportion of owners (around 70 per cent) were self-employed.

And then, a closer look at Andhra Pradesh and Telangana was when the big moment emerged. As much as 15 per cent of its borrowers ran a small business. “They also owned a commercial vehicle or a three-wheeler,” says Y.S. Chakravarti, SCUF’s MD & CEO. This was actually an opportunity for Shriram Transport Finance (STFC) and something the group had not noticed. “It was a sitting duck and, instantaneously, we knew synergies alone made the story very compelling.”

As a lender, Shriram’s businesses come largely from the Tier II and III cities. Borrowers here often fail to make the cut with banks and look at the likes of Shriram to meet their fund requirements. The difference in interest—the rate at which money is borrowed from banks and at how much it is lent at—is where the group makes its money from. At higher rates of interest coupled with a sound understanding of the borrower profile, Shriram builds a steady relationship. Over time, the profile of this borrower has undergone a dramatic shift.

Umesh Revankar, Vice Chairman & MD, STFC, says a truck